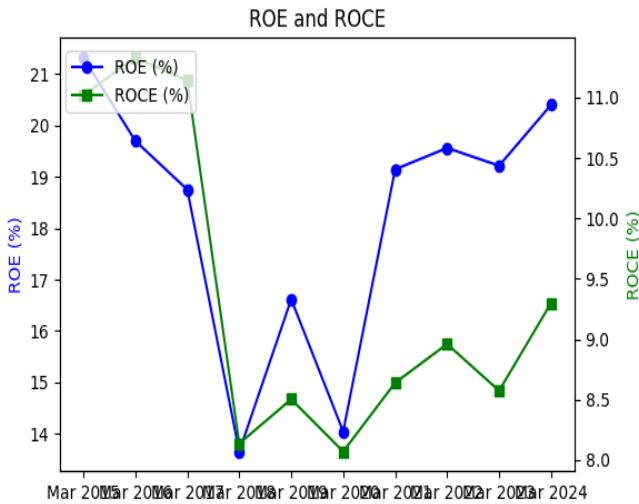
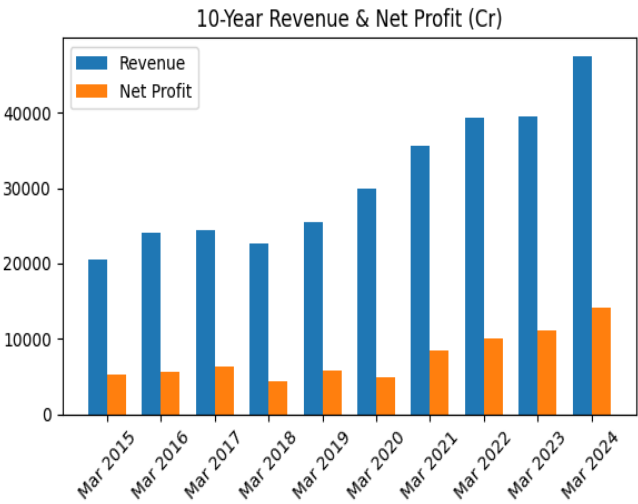
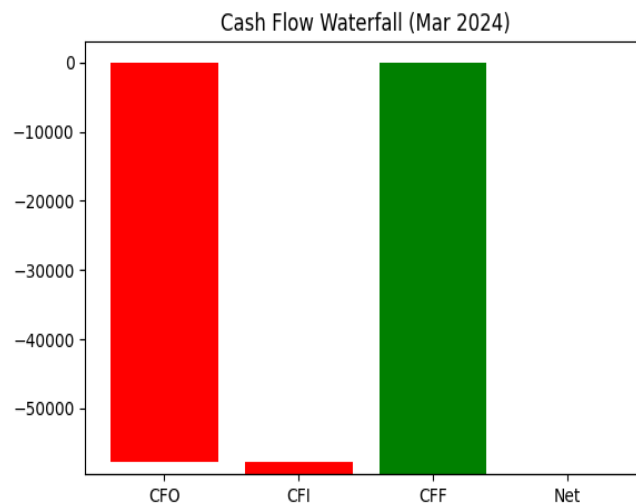
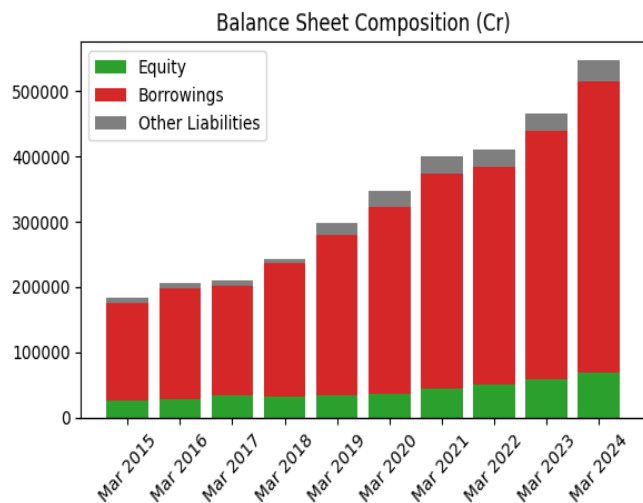


REC Ltd (RECLTD)

Revenue ■51,490 Cr	Net Profit ■14,885 Cr	ROE 20.4%
ROCE 9.3%	CFO Quality Accrual Risk	Allocation Growth Funded by Debt





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation Pattern: Growth Funded by Debt